Senate

General Assembly

File No. 465

February Session, 2026

Substitute Senate Bill No. 412

Senate, April 7, 2026

The Committee on Transportation reported through SEN. COHEN of the 12th Dist., Chairperson of the Committee on the part of the Senate, that the substitute bill ought to pass.

AN ACT CONCERNING THE OFFERING PRICE OF A MOTOR VEHICLE AND PROVISIONS OF THE FRANCHISE ACT GOVERNING AGREEMENTS BETWEEN AUTOMOBILE MANUFACTURERS OR DISTRIBUTORS AND AUTOMOBILE DEALERS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. Section 14-62a of the 2026 supplement to the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(a) No dealer licensed under the provisions of section 14-52 shall advertise the price of any motor vehicle unless the stated price in such advertisement includes the federal tax, the cost of delivery, dealer preparation, any fee, charge or cost imposed for any add-on consumer good or consumer service, any dealer conveyance fee or processing fee and any other charges of any nature and such advertisement (1) states in at least eight-point bold type that any state or local tax [,] or registration fees [or dealer conveyance fee or processing fee, as defined in subsection (a) of section 14-62,] are excluded from such advertised price, (2) separately states, in at least eight-point bold type, immediately next to the phrase "Dealer Conveyance Fee", the amount of such dealer conveyance fee or processing fee, and (3) separately states, in at least eight-point bold type, immediately next to the phrase "Additional Fees, Charges and Costs", the amount of any fee, charge or cost imposed for any add-on consumer good or consumer service. For the purposes of this subsection, (A) "dealer conveyance fee" and "processing fee" have the same meanings as provided in subsection (a) of section 14-62, (B) "consumer good" has the same meaning as provided in section 42-110r, and (C) "consumer service" has the same meaning as provided in subsection (a) of section 42-158ff.

(b) Any new or used car dealer violating the provisions of this section shall be fined not more than one thousand dollars. The Commissioner of Motor Vehicles may suspend or revoke, in accordance with section 14-64, the license of any such dealer violating the provisions of this section.

Sec. 2. Subsection (b) of section 14-62 of the 2026 supplement to the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(b) (1) The selling price quoted by any dealer to a prospective buyer shall (A) include **[**,**]** any dealer conveyance fee or processing fee, and (B) separately **[**stated,**]** state the amount of **[**the**]** any such dealer conveyance fee or processing fee and that such fee is negotiable. **[**No dealer conveyance fee shall be added to the selling price at the time the order is signed by the buyer.**]**

(2) The selling price quoted by any dealer to a prospective buyer shall both (A) include any fee, charge or cost imposed for any optional add-on consumer good or consumer service, and (B) separately state the amount of each such fee, charge or cost and that such fee, charge or cost is optional.

(3) No dealer shall include in the selling price a dealer preparation charge for any item or service for which the dealer is reimbursed by the

manufacturer or any item or service not specifically ordered by the buyer and itemized on the invoice.

(4) The form used by a dealer for the order and invoice shall not be printed in advance of discussions with a prospective buyer to include the amount of <u>any dealer conveyance fee or processing fee or</u> any fee, charge or cost imposed for any other optional add-on consumer good or consumer service.

Sec. 3. Section 42-133r of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

As used in sections 42-133r to 42-133ee, inclusive, <u>as amended by this act, and sections 5 and 7 of this act,</u> unless the context indicates a different meaning:

(1) "Manufacturer" means any person who manufactures or assembles new motor vehicles, or imports motor vehicles for distribution to dealers or through distributors, or factory branches.

(2) "Distributor" means any person who offers for sale, sells or distributes any new motor vehicle to dealers or who maintains factory representatives or who controls any person, firm, association, joint venture corporation or trust, who offers for sale, sells or distributes any new motor vehicle to dealers.

(3) "Factory branch" means a branch office maintained by a manufacturer for the purpose of selling, or offering for sale, motor vehicles to a distributor or dealer, or for directing or supervising factory or distributor representatives.

(4) "Owner" means any person holding an ownership interest in a business entity operating as a dealer or under a franchise as defined in this section either as a corporation, partnership or sole proprietorship. To the extent that the rights of any owner under sections 42-133r to 42-133ee, inclusive<u>, as amended by this act</u>, conflict with the rights of any other owner, such rights shall accrue in priority order based on the percentage of ownership interest held by each owner with the owner

having the greatest ownership interest having first priority and succeeding priority accruing to other owners in the descending order of their percentage of ownership interest.

(5) "Dealership facilities" means real estate, buildings, fixtures and improvements which are used in the course of business under a franchise by a new motor vehicle dealer.

(6) "Dealer" means any person engaged in the business of selling, offering to sell, soliciting or advertising the sale of new motor vehicles and who holds a valid sales and service agreement, franchise or contract, granted by a manufacturer or distributor for the retail sale of the manufacturer's or distributor's new motor vehicles.

(7) "Motor vehicle" means a self-propelled vehicle intended primarily for use and operation on the public highways, other than a farm tractor or other machinery or tools used in the production, harvesting and care of farm products.

(8) "New motor vehicle" means a motor vehicle which has been sold to a new motor vehicle dealer and which has not been used for other than demonstration purposes and on which the original title has not been issued from the new motor vehicle dealer.

(9) "Established place of business" means a permanent, commercial building easily accessible and open to the public at reasonable times and at which the business of a new motor vehicle dealer, including the display and repair of vehicles, may be lawfully carried on.

(10) "Franchise" means a written agreement or contract between a manufacturer or distributor and a dealer which purports to fix the legal rights and liabilities of the parties to such agreement or contract, and pursuant to which the dealer purchases and resells the franchise product or leases or rents the dealership premises.

(11) "Good faith" means honesty in fact and the observance of reasonable commercial standards of fair dealing in the trade.

(12) "Designated family member" means the spouse, child, grandchild, parent, brother or sister of an owner who, in the case of the owner's death, is entitled to inherit the ownership interest in the dealer under the terms of the owner's will, or who has been nominated in any other written instrument, or who, in the case of an incapacitated owner of a dealer, has been appointed by a court as the legal representative of the dealer's property.

(13) "Person" means a natural person, partnership, corporation, limited liability company, association, trust, estate or any other legal entity.

(14) "Relevant market area" means the area within a radius of fourteen miles around an existing dealer or the area of responsibility defined in a franchise, whichever is greater.

(15) "Commissioner" means the Commissioner of Motor Vehicles.

(16) "Substantial alteration" means an alteration that has a major impact on the architectural features, characteristics, appearance or integrity of a structure or lot located on a dealership facility. "Substantial alteration" does not include routine maintenance, such as painting and repairs reasonably necessary to maintain a dealership facility in attractive condition or any changes to items protected by federal intellectual property rights.

(17) "Consumer data" means "nonpublic personal information" as such term is defined in 15 USC 6809(4), as amended from time to time, that is collected by a dealer and provided by the dealer directly to a manufacturer, distributor, factory branch or third party acting on behalf of a manufacturer, distributor or factory branch. "Consumer data" does not include the same or similar data obtained by a manufacturer from any source other than the dealer or the dealer's data management system.

(18) "Data management system" means a computer hardware or software system that: (A) Is owned, leased or licensed by a dealer,

including, but not limited to, a system of web-based applications, computer software or computer hardware; (B) is located at the dealership or hosted remotely; and (C) stores and provides access to consumer data collected or stored by a dealer.

Sec. 4. Section 42-133cc of the general statutes is amended by adding subdivisions (23) and (24) as follows (*Effective October 1, 2026*):

(NEW) (23) (A) Require a dealer to construct, renovate or make substantial alterations to the dealer's facilities unless the manufacturer or distributor can demonstrate that such construction, renovation or alteration requirements are reasonable and justifiable based on reasonable business consideration, including current and reasonably foreseeable projections of economic conditions existing in the automotive industry at the time such action would be required of the dealer, and agrees to make a good faith effort to make available, at the dealer's option, a reasonable quantity and mix of new motor vehicles, which, after a reasonable analysis of market conditions, are projected to meet the sales level necessary to support the increased overhead incurred by the dealer as a result of the required construction, renovation or alteration, provided a dealer may be required by a manufacturer or distributor to make reasonable facility improvements and technological upgrades necessary to support the technology of the manufacturer's or distributor's vehicles. If the dealer chooses not to make such facility improvements or technological upgrades, the manufacturer or distributor shall not be obligated to provide the dealer with the vehicles that require the improvements or upgrades or any corresponding incentives or benefits. A manufacturer or distributor may not require a dealer to construct, renovate or make substantial alterations to the dealer's facility if the dealer has completed a construction, renovation or substantial alteration to the same component of the facility that was required and approved by the manufacturer or distributor within the previous ten years. If a dealer has completed facility construction, renovation or substantial alteration under and in compliance with an incentive program, the manufacturer or distributor may not deny a dealer payment or benefits according to the terms of the program in place when the dealer began to perform under the program. If the incentive program under which the dealer completed a facility construction, renovation or substantial alteration on or after October 1, 2026, does not contain a specific time period during which the manufacturer or distributor shall provide payments or benefits to a dealer, the manufacturer or distributor may not deny the dealer payment or benefits under the terms of that incentive program, as it existed when the dealer began to perform under the program for the balance of ten years after the manufacturer or distributor made the program available to the dealer, regardless of whether the manufacturer's or distributor's facility program has been changed or cancelled. Nothing in this subdivision shall be construed to require a manufacturer or distributor to provide payment or benefits if changes have been made to the facility since the manufacturer's or distributor's approval that would render the facility not in compliance with the manufacturer's or distributor's standards or plans, regardless of whether the manufacturer's or distributor's image program has changed. Facility changes that are necessitated due to damage sustained from a natural disaster or as a result of necessary safety upgrades shall not be considered a change to the facility that renders the facility not in compliance with the manufacturer's or distributor's standards or plans, provided such facility changes substantially restore the facility to the previous or current compliant state. Eligibility for facility-related incentives under this subdivision shall not apply to: (i) Lump sum payments for the cost of the facility upgrade; (ii) payments on a per vehicle basis; and (iii) any facility-related incentive program in effect with one or more dealers in the state on October 1, 2026;

(B) Nothing in this subdivision shall be construed to allow a dealer to: (i) Impair or eliminate a manufacturer's or distributor's intellectual property or trademark rights or impair other intellectual property interests owned or controlled by the manufacturer or distributor, including the design and use of signs; or (ii) refuse to change the design or branding of any signage or other branded items required by a manufacturer or distributor at any time, provided the manufacturer or distributor requires such changes of all of its franchised dealers nationally;

(NEW) (24) Require a dealer who is constructing, renovating or substantially altering its dealership facility to purchase goods, building materials or services for the dealership facility, including, but not limited to, office furniture, design features, flooring and wall coverings, from a vendor chosen by the manufacturer or distributor if goods, building materials or services of a substantially similar appearance, function, design and quality are available from other sources and the dealer has received the manufacturer's or distributor's approval, provided such approval shall not be unreasonably withheld or delayed. In the event that a manufacturer or distributor does not approve the dealer's use of substantially similar goods, building materials or services, the manufacturer or distributor shall provide the dealer, in writing at the time of disapproval, a detailed list of reasons why the proposed substantially similar items are not acceptable. Nothing in this subdivision shall be construed to allow a dealer to impair or eliminate a manufacturer's or distributor's intellectual property or trademark rights and brand image standards, or impair other intellectual property interests owned or controlled by the manufacturer or distributor, including the design and use of signs.

Sec. 5. (NEW) (*Effective October 1, 2026*) (a) As used in this subsection, (1) "stop-sale order" means a notification issued by a manufacturer to its dealers stating that a used vehicle in inventory shall not be sold or leased because of a federal safety recall for a defect or noncompliance or because of a federal emissions recall, (2) "do-not-drive order" means a notification issued by a manufacturer to its dealers or to the registered owner of a used vehicle, or by the National Highway Traffic Safety Administration to the registered owner of a used vehicle, stating that the vehicle is subject to a federal safety recall for a defect or noncompliance and including an unconditional instruction to the recipient of the notification to not drive the vehicle until the remedy for the recall is complete, and (3) "value of the used motor vehicle" means the average trade-in value of the year, make and model of the used motor vehicle determined using nationally recognized industry data or pricing guides that reflect current national and regional used motor vehicle market conditions.

(b) If a manufacturer issues a recall and either a stop-sale order or a do-not-drive order on a used vehicle and the parts or a remedy are not available to perform a recall service or repair on the used vehicle not later than thirty days after issuing the recall, a new vehicle dealer that is franchised to sell and service new vehicles of the manufacturer is entitled to compensation from the manufacturer and may file a claim with the manufacturer for each used vehicle subject to the recall which the dealer (1) has in its used vehicle inventory on the date on which the stop-sale order or do-not-drive order is issued, or (2) takes into its used car inventory as a consumer trade-in related to the sale of a new vehicle after the date on which the stop-sale order or do-not-drive order is issued or as a return of a leased motor vehicle.

(c) Any such claim for compensation shall be in a form as prescribed by the manufacturer. The manufacturer may prescribe the manner in which a dealer shall demonstrate eligibility for such compensation, including, but not limited to, the documentation required to show the inventory status of a used vehicle, provided such demonstration of eligibility or documentation is not unduly burdensome.

(d) Except as provided in subsections (e) and (f) of this section, compensation for a used motor vehicle pursuant to this section shall be calculated at a rate of not less than one per cent of the value of the used motor vehicle per month, beginning thirty days after the date on which the stop-sale order or do-not-drive order is issued to the dealer and continuing until the earlier of the date: (1) The parts or a remedy for the recall service or repair are made available to the dealer; or (2) the dealer sells, trades or otherwise disposes of the used vehicle.

(e) Compensation due to a new vehicle dealer is limited to the amount equal to the value of the used motor vehicle for which the compensation is paid.

(f) A manufacturer may, in lieu of compensating a new vehicle dealer pursuant to the provisions of subsection (d) of this section: (1) Compensate the dealer pursuant to a national recall compensation program, if the amount of compensation owed to the dealer under the program is not less than the amount of compensation owed to the dealer pursuant to the provisions of subsection (d) of this section; or (2) enter into an agreement with the dealer for an alternative form or amount of compensation.

(g) A manufacturer may not take any action to offset or reduce the amount of compensation owed to a new vehicle dealer pursuant to this section, including, without limitation, through a charge-back program, any reduction in an amount owed to the new vehicle dealer under an incentive program or the removal of the new vehicle dealer from an incentive program, if such action is taken, in whole or in part, because the new vehicle dealer filed a claim for compensation pursuant to this section. The provisions of this subsection do not apply to any action taken by a manufacturer that is applied uniformly to all new vehicle dealers of the same line and make of vehicles in this state.

(h) Except as provided in subsection (f) of this section, any compensation provided to a new vehicle dealer pursuant to this section is exclusive and may not be combined with any other state or federal recall compensation remedy.

Sec. 6. Subsection (j) of section 42-133s of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(j) All claims by dealers under this section for such labor and parts, **[**and**]** all claims for compensation relative to any sales incentive, marketing and advertising programs and all claims for compensation pursuant to the provisions of section 5 of this act shall be paid not later than thirty days after approval by the manufacturer or distributor, provided manufacturers or distributors retain the right to audit such claims and to charge-back the dealer for false or unsubstantiated claims for a period of one year following payment. A manufacturer or distributor shall not deny a claim submitted under this subsection or charge-back such a claim or payment following a timely audit based solely on the dealer's failure to comply with a claim processing procedure, a clerical error or other administrative technicality, provided such failure does not call into question the legitimacy of the claim. The manufacturer or distributor shall allow the dealer to resubmit such claim according to reasonable manufacturer or distributor guidelines not later than thirty days after the initial claim denial or charge-back. If there is evidence of fraud, the provisions of this subsection shall not limit the right of a manufacturer or distributor to audit a dealer for longer periods of time and charge-back the dealer for any fraudulent claim. Dealers shall be required to maintain defective parts for a period of not longer than ninety days following submission of claims. All such claims shall be either approved or disapproved not later than thirty days after their receipt on forms, and in the manner specified by, the manufacturer or distributor. Any claim not disapproved in writing or by means of electronic transmission not later than thirty days after receipt shall be deemed approved and payment shall be made within thirty days.

Sec. 7. (NEW) (*Effective October 1, 2026*) (a) With respect to consumer data, a manufacturer, distributor or a third party acting on behalf of a manufacturer or distributor:

(1) Shall comply with, and shall not cause a dealer to violate, any applicable restrictions on reuse or disclosure of the consumer data established by federal or state law;

(2) Shall, upon the request of the dealer, provide a written statement to the dealer describing the established procedures adopted by such manufacturer, distributor or third party acting on behalf of the manufacturer or distributor that meet or exceed any federal or state requirements to safeguard the consumer data, including, but not limited to, the requirements in the Gramm-Leach-Bliley Act, 15 USC 6801 et seq., as amended from time to time;

(3) Shall, upon the written request of the dealer, provide a written list of the consumer data obtained from the dealer and all persons to whom

any consumer data has been provided by the manufacturer, distributor or a third party acting on behalf of the manufacturer or distributor during the preceding six months. The dealer may make such a request not more than once every six months. The list shall indicate the specific fields of consumer data that were provided to each person, except such list shall not be required to include: (A) A person to whom consumer data was provided, or the specific consumer data provided to such person, if the person was, at the time such consumer data was provided, a service provider, subcontractor or consultant acting in the course of performance of services on behalf of or for the benefit of the manufacturer, distributor, third party or dealer, provided the manufacturer, distributor, third party or dealer has entered into an agreement with such person requiring that such person comply with the safeguard requirements of applicable state and federal law, including, but not limited to, the requirements in the Gramm-Leach-Bliley Act, 15 USC 6801 et seq., as amended from time to time; and (B) a person to whom consumer data was provided, or the specific consumer data provided to such person, if the dealer has previously consented in writing to such person receiving such consumer data and the dealer has not withdrawn such consent in writing;

(4) May not require that a dealer grant the manufacturer, distributor or third party acting on behalf of the manufacturer or distributor direct or indirect access to such dealer's data management system to obtain consumer data. A manufacturer, distributor or a third party acting on behalf of the manufacturer or distributor shall permit a dealer to furnish consumer data in a widely accepted file format, such as comma delimited, and through a third-party vendor selected by the dealer. A manufacturer, distributor or a third party acting on behalf of the manufacturer or distributor may access or obtain consumer data directly from a dealer's data management system with the express consent of the dealer. The consent shall be in the form of a written document that (A) is separate from the franchise agreement, (B) is executed by the dealer, and (C) may be withdrawn by the dealer upon thirty days' written notice to the manufacturer or distributor. For incentive programs beginning on or after October 1, 2026, such consent

shall not be required as a condition to a motor vehicle dealer's participation in an incentive program unless such consent is necessary to obtain consumer data to implement the program; and

(5) Shall indemnify the dealer for any third-party claims asserted against or damages incurred by the dealer to the extent caused by access to, use of or disclosure of consumer data in violation of the provisions of this section by the manufacturer, distributor or a third party to whom the manufacturer or distributor has provided consumer data.

(b) Nothing is this section shall be construed to limit the ability of the manufacturer or distributor to require that the dealer provide, or use in accordance with the law, such customer information related solely to such manufacturer's or distributor's own vehicle makes to the extent necessary to do any of the following:

(1) Satisfy any safety or recall notice obligations or other legal notice obligations on the part of the manufacturer;

(2) Complete the sale and delivery of a new motor vehicle to a customer;

(3) Validate and pay customer or dealer incentives;

(4) Submit to the manufacturer or distributor claims for any services supplied by the dealer for any claim for warranty parts or repairs;

(5) Market analysis;

(6) Evaluate sales and service customer satisfaction with the dealer, including surveys; or

(7) Reasonable marketing purposes that benefit the dealer.

(c) In any cause of action against a manufacturer or distributor for a violation of the provisions of this section, the party bringing the action shall have the burden of proof.

This act shall take effect as follows and shall amend the following sections:		
Section 1	*October 1, 2026*	14-62a
Sec. 2	*October 1, 2026*	14-62(b)
Sec. 3	*October 1, 2026*	42-133r
Sec. 4	*October 1, 2026*	42-133cc(23) and (24)
Sec. 5	*October 1, 2026*	New section
Sec. 6	*October 1, 2026*	42-133s(j)
Sec. 7	*October 1, 2026*	New section

TRA *Joint Favorable Subst.*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact: None

Explanation

The bill, which modifies statutes related to vehicle conveyance fees and dealer franchise laws, is not anticipated to result in a fiscal impact as these changes largely concern private parties.

The Out Years

State Impact: None

Municipal Impact: None

OLR Bill Analysis

sSB 412

AN ACT CONCERNING THE OFFERING PRICE OF A MOTOR VEHICLE AND PROVISIONS OF THE FRANCHISE ACT GOVERNING AGREEMENTS BETWEEN AUTOMOBILE MANUFACTURERS OR DISTRIBUTORS AND AUTOMOBILE DEALERS.

SUMMARY

This bill requires car dealers to include their dealer conveyance fee or processing fee, if any, in the price they advertise or quote for a motor vehicle. It also prohibits them from pre-printing vehicle orders and invoices with the dealer conveyance fee amount. In doing so, it generally aligns dealer conveyance fee requirements with those that apply to fees for add-on consumer goods and services under existing law (§§ 1 & 2).

The bill also modifies and expands the legal duties that motor vehicle manufacturers (and their distributors) owe to the dealers with whom they have franchise agreements (see BACKGROUND). Among other things, it:

1. limits the circumstances under which manufacturers may require car dealers to construct, renovate, or substantially alter their dealerships (§§ 3 & 4);

2. establishes new requirements related to consumer data sharing, including limiting when manufacturers may require dealers to share data on their customers (§§ 3 & 7); and

3. entitles new vehicle dealers to compensation from their manufacturer when used vehicles in their inventory are subject to a “stop-sale order” or a “do-not-drive order” due to a recall and the necessary parts or remedies are not available for a while (§§ 5 & 6).

Lastly, the bill makes several technical and conforming changes.

EFFECTIVE DATE: October 1, 2026

§§ 1 & 2 — DEALER CONVEYANCE FEES

The bill modifies requirements related to dealer conveyance fees and motor vehicle prices. By law, a "dealer conveyance fee" or "processing fee" is a fee dealers charge to recover reasonable costs for processing all documentation and performing services related to closing a sale, including registration and transferring vehicle ownership.

Advertisements

Under current law, dealers must (1) exclude conveyance or processing fees from a vehicle's advertised price and (2) separately state the amount of the conveyance fee next to the phrase "Dealer Conveyance Fee." The bill instead requires dealers to include these fees in the advertised price, but keeps the requirement to separately state the fee amount.

By law, dealers must include fees for any add-on consumer good or service in the advertised price of the vehicle and also separately state the amount of these fees next to the phrase "Additional Fees, Charges and Costs."

By law and under the bill, dealers who violate these laws are subject to a fine of up to $1,000 and may have their license suspended or revoked.

Quoted Price

In the selling price quoted to prospective buyers, current law requires dealers to include, separately stated, the amount of any dealer conveyance fee. The bill requires dealers to both (1) include the dealer conveyance fee in the quoted amount and (2) separately state the amount. As under existing law, it must also state that the conveyance fee is negotiable.

By law, dealers must include fees for any optional add-on consumer good or service in the quoted price and also separately state the amount of each fee and that it is optional.

Under existing law, and unchanged by the bill, a dealer must also give a buyer a written statement and prominently display a sign specifying (1) the conveyance fee or processing fee amount; (2) the included services; (3) that the fee is negotiable; (4) that the fee is not payable to the state; and (5) that the buyer may choose, where appropriate, to submit registration and title documents to the Department of Motor Vehicles, in which case the dealer will reduce the fee by a proportional amount (CGS § 14-62(c)).

Pre-printed Order and Invoice Forms

For each motor vehicle sale, state law requires dealers to give buyers an order and an invoice that contain the vehicle's cash selling price and other specified vehicle information and offer terms. Existing law prohibits dealers from pre-printing the vehicle order and invoice with fees for any optional, add-on consumer good or service before discussions with a prospective buyer; the bill extends this prohibition to dealer conveyance fees.

§§ 3 & 4 — ALTERATIONS TO DEALERSHIPS

The bill limits the circumstances under which manufacturers may require car dealers to construct, renovate, or substantially alter (alter) their dealerships. Substantial alterations are generally those that majorly impact a dealership's architectural features, characteristics, appearance, or integrity.

Under the bill, a manufacturer can only require dealers to alter their facilities if it (1) demonstrates the alteration is reasonable and justifiable based on a reasonable business consideration (such economic condition projections) and (2) agrees to make a good faith effort to make new vehicles available to the dealer, at the dealer's option, to cover the dealer's alteration costs. The new vehicles must be provided in an amount and mix that is projected, based on a reasonable market analysis, to meet the sales level necessary to cover these costs.

The bill also prohibits a manufacturer from requiring a dealer to alter its dealership if it completed a manufacturer-required alteration to the same component of the facility within the last 10 years.

Exclusions

The bill's limitations do not apply to:

1. routine maintenance reasonably necessary to keep the dealership in attractive condition,

2. changes to items protected by intellectual property rights, or

3. reasonable facility improvements and technological upgrades needed to support technology in a manufacturer's vehicles.

If a manufacturer requires improvements or upgrades to support vehicle technology and a dealer chooses not to make them, the bill allows the manufacturer to refuse to give the dealer any vehicles that require them or any corresponding incentives or benefits.

The bill also specifies that it does not allow a dealer to (1) impair or eliminate a manufacturer's intellectual property or trademark rights or interests, including sign design and use, or (2) refuse to change the design or branding of any signs or other branded items, as long as the requirement applies to all dealers nationally.

Incentive Programs

Under the bill, if a dealer alters its facility under an incentive program, the manufacturer may not deny a dealer any payment or benefits that were part of the program's terms when the dealer started participating in it. If a dealer alters its facility under an incentive program on or after October 1, 2026, and the program does not specify a time period during which the dealer will receive payments, manufacturers must provide payments and benefits to the dealer for 10 years after the manufacturer made the program available to the dealer, even if the manufacturer changes or cancels the program.

The bill specifies that it does not prohibit manufacturers from denying payment or benefits if the dealer changes its facilities in a way that makes it no longer compliant with the manufacturer's standards or plans, regardless of whether or not the program changed. Facility changes needed because of damage from natural disasters or required safety upgrades cannot make a dealer noncompliant with a manufacturer's standards or plans, as long as the changes substantially restore the facility to compliance.

The bill's provisions on facility-related incentives do not apply to (1) lump sum payments for facility upgrade costs; (2) per-vehicle payments; and (3) any facility incentive program in effect on October 1, 2026.

Purchase of Goods, Building Materials, or Services

The bill prohibits manufacturers from requiring dealers who are altering their dealerships to buy goods, building materials, or services (such as flooring and wall coverings) from a manufacturer-chosen vendor if the:

1. dealer can get, from other sources, goods, materials, and services that are substantially similar in appearance, function, design, and quality to the ones from the manufacturer's vendor and

2. manufacturer approves them.

The bill prohibits manufacturers from unreasonably delaying or withholding approval. If a manufacturer denies a dealer's request, it must give the dealer a detailed list of the reasons it did so in writing at the time of the denial.

§§ 3 & 7 — CONSUMER DATA

The bill establishes several requirements related to consumer data sharing between manufacturers (including third parties acting on their behalf) and their dealers. The bill requires manufacturers to comply with applicable state and federal restrictions on reusing or disclosing consumer data and prohibits them from causing a dealer to violate these restrictions.

Under the bill, manufacturers must indemnify the dealer for any claims against the dealer, or damages it incurs, to the extent caused by the manufacturer's disclosure of dealer-provided data in violation of the bill.

The bill also specifies that, in any cause of action against a manufacturer for a violation of the bill's data provisions, the party bringing the action has the burden of proof.

Scope

The bill's data protections apply to personally identifiable financial information that a dealer collects and gives, directly, to a manufacturer, factory branch, or third party acting on their behalf. It does not apply to data the manufacturer receives from another source, even if it is the same or similar to data the dealer has.

Statement on Procedures for Safeguarding Consumer Data

The bill requires manufacturers (or third parties acting on their behalf) to give dealers, upon request, a written statement describing the manufacturer's procedures to safeguard consumer data that meet or exceed federal or state requirements. This includes requirements under the federal Gramm-Leach-Bliley Act, which requires companies that offer consumers financial products and services (such as loans) to explain their information-sharing practices to consumers and to safeguard personally identifiable information.

List of Parties With Whom Manufacturer Shared Data

Under the bill, upon a dealer's written request, a manufacturer (or a third party acting on its behalf) must give the dealer a written list of all the consumer data it received from the dealer and all the parties the manufacturer gave the data to in the previous six months. Dealers may only request this information once every six months.

The bill requires that this list indicate specific fields of consumer data that were given to each party. But it does not have to include any party (or the data given to that party) who:

1. was providing services for a manufacturer or dealer and received the data while doing so, so long as the parties had an agreement requiring the service provider to comply with federal and state data privacy requirements, or

2. was previously authorized by the dealer, in writing, to receive the data, so long as the dealer has not withdrawn the authorization in writing.

Access to Dealer's Data Management System

The bill prohibits manufacturers from requiring dealers to allow them direct or indirect access to the dealer's data management system to get consumer data. However, under the bill, manufacturers may get consumer data from the dealer's system if the dealer gives express consent in a written document, separate from the franchise agreement, that may be withdrawn with 30 days' written notice to the manufacturer. Manufacturers cannot require this consent as a condition for participating in an incentive program that begins on or after October 1, 2026, unless the consent is necessary to get consumer data to implement the program.

If a dealer does not allow a manufacturer access to its system, manufacturers must allow dealers to give them consumer data in a widely accepted file format and through a third-party vendor the dealer chooses.

When Manufacturers May Require Data Sharing

Under the bill, manufacturers may require dealers to give them, or allow them to use, customer information related solely to the manufacturer's vehicle makes to the extent necessary to:

1. satisfy manufacturers' legal notice obligations, including safety or recall notices;

2. complete vehicle sale and delivery;

3. validate and pay customer or dealer incentives;

4. submit claims for services supplied by the dealer for any claim for warranty parts or repairs;

5. analyze the market;

6. evaluate sales and customer satisfaction with the dealer (including surveys); or

7. reasonable marketing purposes that benefit the dealer.

§§ 5 & 6 — COMPENSATION FOR RECALLED VEHICLES IN INVENTORY

The bill generally entitles a new vehicle dealer to compensation from a manufacturer when used vehicles in its inventory are subject to a "stop-sale order" or a "do-not-drive order" because of a federal safety or emissions recall and the necessary parts or remedies are not available for a while.

Eligible Vehicles

Under the bill, if the necessary parts or remedies are not available within 30 days after issuing the recall, a new vehicle dealer that is franchised to sell and service new vehicles from the manufacturer may file a claim for each recalled vehicle that (1) was in its used vehicle inventory on the date the stop-sale order or do-not-drive order was issued or (2) it took into its used car inventory as a consumer trade-in after the date the order was issued. The claim must be filed in a way the manufacturer sets, and the manufacturer may specify how dealers must show eligibility for the compensation, so long as the requirements are not overly burdensome.

Compensation Amount

Under the bill, the compensation must equal at least 1% of the used vehicles' value per month, starting 30 days after the recall is issued and ending when the (1) parts are or remedy is available to the dealer or (2) dealer sells, trades, or otherwise gets rid of the vehicle. Like other claims by dealers under existing law, the bill requires manufacturers to pay these claims within 30 days after approving them.

Instead of compensation calculated as described above, a manufacturer may (1) compensate a dealer under a national recall compensation program, so long as the amount is higher than a dealer would otherwise receive, or (2) enter into an agreement with a dealer for compensation in an alternate form or amount. Compensation provided to the dealer is otherwise exclusive and cannot be combined with other state or federal recall remedies.

Under the bill, a dealer is not entitled to compensation higher than the vehicle's value. The vehicle's value, for purposes of calculating compensation, is the average trade-in value for the vehicle determined with nationally recognized industry data or pricing guides.

The bill prohibits manufacturers from offsetting or reducing the compensation they owe to dealers under the bill, including (1) through a charge-back program; (2) any reduction in an amount owed to a dealer through an incentive program; or (3) the removal of a dealer from an incentive program, if it is done because the dealer applied for compensation. These limitations do not apply to manufacturer actions that apply uniformly to all new vehicle dealers of the same line and make of vehicles in the state.

BACKGROUND

Motor Vehicle Franchises and Dealerships

Under the laws governing motor vehicle franchises, a motor vehicle manufacturer makes or assembles new motor vehicles for distribution to dealers or through distributors. A dealer sells motor vehicles and holds a valid sales and service agreement, franchise, or contract with a manufacturer for retail sale of the vehicles (CGS § 42-133r).

COMMITTEE ACTION

Transportation Committee

Joint Favorable Substitute
Yea 27 Nay 9 (03/16/2026)